

Applicable Law (UCC vs. Common Law)

- **Predominant Purpose Test:** For hybrid contracts mixing goods and labor (like buying custom doors with installation), identify whether the primary value and main objective is the tangible good or the service; if goods dominate the total invoice price, apply the Uniform Commercial Code to the entire contract, but if labor dominates, apply Common Law.
- **Used Goods Are Still Governed by the UCC:** Any transaction involving movable physical property—including used cars, secondhand machinery, or antique furniture sold by private non-merchants—is governed by the UCC, not Common Law.
- **Real Estate and Construction Are Common Law:** Contracts for the sale of land, residential leases, and building construction or remodeling are strictly governed by Common Law principles.

Offer, Revocation & Option Contracts

- **Advertisements and Catalogs:** Advertisements, price lists, and catalogs are presumed to be non-binding invitations to negotiate, unless the wording is clear, definite, explicit, leaves no terms open to debate, and identifies who can accept (e.g., "First come, first served; Saturday 8 AM; 10 TVs available at \$100").
- **Real Estate Missing Price Kills Formation:** Under Common Law land contracts, the purchase price is an essential term; omitting the agreed price prevents contract formation even if the market value is obvious and both parties are commercial developers.
- **Missing Price in UCC Sales (Gap-Filler):** If a contract for goods omits the price term, the agreement remains fully enforceable; the court inserts a gap-filler setting a reasonable fair market price determined at the time and place of delivery.
- **Revocability of Common Law Offers:** An offeror can revoke an ordinary offer at any time before acceptance—even if they explicitly promised in writing to hold it open—unless the buyer paid independent, bargained-for consideration to purchase that option.
- **Nominal Consideration Supports Options:** Paying a nominal sum (such as \$10 or \$100) to keep an offer open creates an enforceable option contract, which strips the offeror of the legal power to revoke the offer until the agreed deadline expires.
- **Options Are Immune to Rejections:** Unlike standard offers, an offeree who holds a valid option contract does not kill their power of acceptance by making an interim rejection or counteroffer; they may still accept before the option period expires, unless the offeror materially relied on the rejection.
- **UCC Merchant Firm Offer Rule:** A merchant's signed, written promise assuring that an offer to buy or sell goods will be held open is completely binding without consideration, but its period of irrevocability cannot exceed a strict statutory ceiling of 3 months (90 days).
- **Unilateral Contract Rewards:** Completing the requested performance (like returning a lost dog or reporting a suspect) does not create an enforceable contract if the person acted without knowing about the reward offer beforehand.
- **Beginning Performance on Unilateral Offers:** The moment an offeree begins actual physical performance on a unilateral offer, an implied option contract is created that suspends the offeror's power to revoke and gives the offeree a reasonable time to finish.

- **Mere Preparation vs. Beginning Performance:** Buying supplies or traveling to a site is mere preparation, not beginning performance; however, substantial preparation may support reliance damages under promissory estoppel.
- **Unilateral Offers Cannot Be Accepted by Promise:** If an offer explicitly demands acceptance through an act (such as catching a thief), merely promising to do the job does not form a bilateral contract.
- **Subcontractor Bids Create Irrevocable Options (*Drennan*):** When a general contractor uses a subcontractor's bid to calculate their master project bid, promissory estoppel creates an irrevocable option; however, the general contractor loses this protection if they try to negotiate the price down ("bid shopping" or "bid chopping") after winning.
- **Obvious Bidding Errors Preclude Estoppel:** If a subcontractor's bid contains a glaring clerical or math error that is drastically lower than all competing bids, the general contractor has reason to know of the mistake and cannot snap up the offer via promissory estoppel.
- **Indirect Revocation via Reliable Third Parties:** A revocable offer automatically terminates the moment the offeree learns from a reliable source that the offeror took definitive action inconsistent with the offer (such as learning the property was sold to someone else).

Acceptance & Battle of the Forms

- **The Mailbox Rule:** An acceptance is legally effective the moment it is properly addressed, stamped, and dispatched into the mail, whereas revocations and rejections are effective only upon actual receipt.
- **Mailbox Rule Exception for Option Contracts:** The mailbox rule does not apply to option contracts; an option acceptance is effective only when physically received by the offeror on or before the option deadline.
- **Intersecting Dispatches (Rejection Sent First):** If an offeree mails a rejection and then changes their mind and mails an acceptance, the mailbox rule is suspended; whichever communication the offeror physically receives first controls.
- **Common Law Mirror Image Rule:** For real estate and service contracts, an acceptance must match every term of the offer exactly; adding, removing, or changing any term acts as an outright rejection and counteroffer.
- **UCC Battle of the Forms Between Merchants:** Under the UCC, an acceptance with additional terms still forms a contract; between merchants, the new terms automatically become part of the contract unless the offer limited acceptance, the recipient objects within a reasonable time, or the new terms materially alter the deal (such as adding an arbitration clause or disclaiming implied warranties).
- **UCC Battle of the Forms When a Non-Merchant Is Involved:** If at least one party is a non-merchant, any additional terms in the acceptance do not enter the contract; they are treated merely as separate proposals that must be expressly accepted.
- **Expressly Conditional Acceptance Language:** If an acceptance states that it is "expressly made conditional on assent to these new/different terms," the response is not an acceptance; it acts as a rejection and counteroffer.

- **The UCC Knockout Rule for Conflicting Terms:** When forms exchanged between merchants contain directly contradictory terms (e.g., conflicting choice-of-law or forum selection clauses), most courts apply the knockout rule: both conflicting terms are knocked out, and standard UCC gap-fillers take their place.
- **UCC Acceptance by Prompt Shipment:** An order requesting prompt shipment of goods invites acceptance either by a prompt promise to ship or by prompt shipment of conforming or nonconforming goods.
- **Nonconforming Shipment with Accommodation Notice:** Shipping nonconforming goods normally constitutes an acceptance and immediate breach; however, if the seller seasonably notifies the buyer that the nonconforming items are offered merely as an accommodation, the shipment functions as a counteroffer that the buyer can freely accept or reject.
- **Shrinkwrap and Rolling Contracts:** Enclosed terms inside packaged software or products become part of the contract if the consumer was notified that terms were enclosed, had a reasonable window to review and reject them by returning the product for a full refund, and chose to keep using the product.
- **Implied-in-Fact Contracts from Conduct:** If an offeree silently accepts valuable services having had a reasonable opportunity to reject them, and knows or should know that the provider expects to be compensated, an enforceable contract is implied-in-fact at the provider's customary fee.

Consideration & Modifications

- **Legal Detriment (*Hamer v. Sidway*):** Valid consideration requires a bargained-for exchange involving a legal detriment; refraining from an activity you have a legal right to do (such as smoking or drinking where legal) constitutes sufficient consideration, even if quitting actually improves your health.
- **Past Consideration Is No Consideration:** Past acts, prior emergency rescues, or years of dedicated service rendered without an expectation of compensation cannot serve as consideration for a subsequent promise to pay money, a bonus, or a lifetime pension.
- **Moral Obligation Exception:** A promise to pay for a previously received material benefit is unenforceable for lack of consideration in most courts, unless the jurisdiction recognizes the moral obligation doctrine to prevent severe injustice where the promisor received a direct, life-saving material benefit.
- **Preexisting Duty Rule (Common Law):** Performing or promising to perform an act that you are already legally obligated to do (such as a police officer arresting a suspect or a sailor completing an agreed voyage) cannot serve as consideration for an additional payment or reward.
- **Unforeseen Difficulties Exception to Preexisting Duty:** A common law contract modification is enforceable without fresh consideration if it represents a fair and equitable adjustment in response to severe, unanticipated difficulties that were completely unforeseeable at formation (such as striking solid bedrock or buried toxic waste during excavation).
- **Internal Calculation Errors Are Not Unforeseen Difficulties:** A contractor's or subcontractor's own math, bidding, or estimation mistake does not qualify as an unforeseen difficulty; demanding more money to cover their own miscalculation is unenforceable without new consideration.
- **Preexisting Duty Owed to a Third Party:** Promising a third party to perform a contractual duty that you already owe to someone else constitutes valid consideration to support the third party's independent promise to pay.

- **UCC Modifications Require Only Good Faith:** Under the UCC, modifications to contracts for the sale of goods do not require consideration; they are binding as long as the price adjustment is sought in good faith due to legitimate commercial reasons (like sudden inflation or supply shortages).
- **Common Law "No Oral Modification" (NOM) Clauses:** In Common Law service contracts, a clause stating that all amendments must be in writing is generally ineffective because parties retain the inherent legal power to orally waive the clause at the same time they agree to the oral modification.
- **Promissory Estoppel as a Consideration Substitute:** If a promise lacks consideration, courts enforce it under promissory estoppel when the promisor reasonably foresaw that the promisee would rely on it, the promisee suffered substantial detrimental reliance (like resigning a job or downsizing a home), and injustice can only be avoided by enforcement.
- **Mutuality in Requirements and Output Contracts:** A promise to buy all goods the buyer "requires" or sell all goods the seller "produces" is fully enforceable because the implied obligation of good faith supplies the necessary mutuality of obligation.
- **Illusory Promises:** A promise to buy only what a party "chooses to order" or "wants to sell" leaves performance entirely optional with no legal detriment, making the promise illusory and unenforceable.
- **Disputed vs. Undisputed Debts (Accord and Satisfaction):** Cashing a check conspicuously marked "payment in full" acts as an accord and satisfaction that discharges the debt only if the debt is unliquidated or subject to an honest, good-faith dispute; if the debt is liquidated and undisputed, the creditor may cash the check and still sue for the remaining balance.
- **Compromise of an Invalid Legal Claim:** Surrendering or promising not to file a civil lawsuit provides valid consideration for a settlement payment even if the claim is legally invalid, provided the asserting party had an honest, good-faith subjective belief in the claim's merit.

Defenses to Formation & Statute of Frauds

- **Statute of Frauds Scope (MY LEGS):** Contracts within the Statute of Frauds require a signed writing: **M**arriage consideration, agreements incapable of performance within one **Y**ear, transfers of interests in **L**and, **E**xecutor promises to pay estate debts personally, sales of **G**oods for \$500 or more, and **S**uretyship promises.
- **Suretyship Writing Requirement:** An oral promise to answer for the debt, default, or miscarriage of another person is unenforceable under the Statute of Frauds.
- **Main Purpose (Leading Object) Exception to Suretyship:** An oral suretyship promise is removed from the Statute of Frauds and fully enforceable without a writing if the promisor's primary motive in guaranteeing the debt was to serve their own direct economic, pecuniary, or business interest.
- **One-Year Performance Rule:** The Statute of Frauds applies only to contracts whose terms make full performance impossible within one year from the exact date of formation; a contract for a fixed term over one year requires a writing, but an oral lifetime employment contract falls outside the Statute because the employee could die within one year.
- **Part Performance for Real Estate Deals:** An oral agreement to sell land is enforceable without a writing only if the buyer satisfies at least two of the following three elements: paying part or all of the purchase price, taking physical possession, or constructing substantial, valuable improvements.

- **UCC Merchant Confirmatory Memo Rule:** In contracts for goods priced at \$500 or more between merchants, a written confirmation sent by one merchant that binds the sender also binds the receiving merchant if they had reason to know its contents and failed to object in writing within 10 days of receipt.
- **Statute of Frauds Quantity Ceiling:** A written memo satisfies the UCC Statute of Frauds only up to the quantity of goods stated in the writing; if the memo states 500 units but the actual oral agreement was for 50, the plaintiff can recover only for the 50 units proven.
- **Specially Manufactured Custom Goods:** An oral contract for goods costing \$500 or more is enforceable without a writing if the goods are specially manufactured for the buyer (like custom-engraved items), are not suitable for sale to others in the ordinary course of business, and the seller has made a substantial beginning on their production.
- **Partial Payment / Partial Acceptance of Goods:** Partial payment or partial receipt and acceptance of goods removes an oral contract from the UCC Statute of Frauds, but only to the exact extent of the specific units already paid for or accepted.
- **Oral Modifications Crossing the \$500 Threshold:** If an oral modification pushes the total price of a contract for goods to \$500 or more, the modification itself must be in writing to be enforceable over objection.
- **Capacity (Minors):** Contracts entered into by minors are voidable at the minor's option; a minor can disaffirm the contract and return whatever remains of the item in its damaged or depreciated condition to receive a full refund.
- **Minor Liability for Necessaries:** If a minor contracts for life-sustaining necessities (food, shelter, basic clothing, or vital medical transport), the minor can disaffirm the contract, but the merchant can recover the reasonable fair market value of the benefit actually received under quasi-contract restitution.
- **Ratification of Minor Contracts Upon Majority:** A minor who reaches the age of majority ratifies the contract and permanently loses the power to disaffirm if they retain the contract benefits and continue making installment payments.
- **Mental Incapacity (Adjudicated Incompetent):** Contracts made by a person who has already been formally adjudicated mentally incompetent by a court are void as a matter of law, not merely voidable.
- **Intoxication Defense:** A contract entered into by an intoxicated person is voidable only if they were so severely impaired that they did not comprehend the nature and legal consequences of their act, and the other party had reason to know of their condition.
- **Undue Influence:** A transaction can be rescinded for undue influence when a dominant party in a confidential, fiduciary, or caretaking relationship uses unfair psychological persuasion on an isolated, dependent, or vulnerable individual to overcome their free will.
- **Economic Duress:** A contract or modification is voidable for economic duress if one party issues an improper or wrongful threat to breach an existing contract, leaving the victim with no reasonable commercial alternative and forcing them to assent to avoid financial catastrophe.
- **Procedural and Substantive Unconscionability:** A court will refuse to enforce an unconscionable contract or clause if there is both procedural unconscionability (unfair surprise, fine print, lack of bargaining power) and substantive unconscionability (overly harsh, oppressive, or one-sided terms).

- **Mutual Mistake Regarding Core Identity:** A contract is voidable by the adversely affected party if both parties were mistaken about a basic factual assumption going to the core identity or nature of the subject matter (such as a barren cow that is actually fertile, or fine art that is actually a fake), provided the affected party did not bear the risk of the mistake.
- **Conscious Ignorance Allocates Risk:** A party cannot claim mutual mistake if they entered into the agreement with conscious ignorance—knowing they had limited facts or lack of expertise (such as selling an unappraised painting at a garage sale) and choosing to treat that limited knowledge as sufficient.
- **Unilateral Mistake Known to the Other Party:** A unilateral mistake does not void a contract unless the non-mistaken party knew or had reason to know of the mistake and took advantage of the error.

Terms, Interpretation & Parol Evidence Rule

- **Parol Evidence Rule (Completely Integrated Contracts):** If the parties intend a written agreement to be the final and complete expression of their deal (evidenced by a merger clause), extrinsic evidence of prior or contemporaneous oral promises is barred if it contradicts or supplements the writing.
- **Parol Evidence Rule (Partially Integrated Contracts):** If a writing is final but not complete, extrinsic evidence of consistent additional terms is admissible to supplement the agreement, but oral evidence that directly contradicts the written terms is strictly barred.
- **Collateral Agreements Exception to Parol Evidence:** The Parol Evidence Rule does not bar extrinsic evidence of a separate oral agreement that is naturally collateral, supported by distinct consideration, and deals with an independent subject matter (such as agreeing to buy a separate lawnmower during a home sale).
- **Condition Precedent to Formation Exception:** Parol evidence is always admissible to prove an oral agreement establishing a condition precedent to the formation or legal existence of the entire contract (such as an agreement that the contract has no legal effect unless financing is approved).
- **Fraud, Duress, and Mistake Parol Evidence Exception:** Extrinsic evidence of intentional lies, fraudulent inducement, clerical error, or duress is always admissible to invalidate or reform a written contract, regardless of integration clauses or "as-is" waivers.
- **Extrinsic Evidence to Interpret Ambiguities:** Extrinsic evidence of trade custom, course of dealing, or prior discussions is admissible to explain or clarify the meaning of an ambiguous contract term.
- **Interpretation Hierarchy (Express Terms Control):** When interpreting a contract, express terms in the writing hold the highest priority, followed by course of performance under the current contract, course of dealing across prior contracts, and trade usage.
- **Conspicuous Disclaimers of Implied Warranties:** The implied warranty of merchantability can be disclaimed using conspicuous "as is" language or by mentioning the word "merchantability"; if the disclaimer is in writing, it must be conspicuous (such as large, bold, or contrasting font).
- **Express Warranties Cannot Be Disclaimed by Fine Print:** A seller cannot make an explicit express warranty on packaging or in discussions and then negate it with an inconsistent boilerplate disclaimer in an enclosed pamphlet.

- **Implied Warranty of Title:** Every sale of goods includes an implied warranty that the title conveyed is good and its transfer rightful; a seller breaches this warranty if the goods turn out to be stolen, even if the seller was completely innocent.

Performance, Conditions & Breach

- **Express Conditions Require Strict Compliance:** Express conditions (created by words like "on condition that" or "provided that") require strict, literal compliance; failing to meet the condition excuses the other party's performance.
- **Subjective Standard for Personal Aesthetic Conditions:** Express conditions requiring personal satisfaction for portraits, artistic works, or family taste are evaluated under a subjective standard; the buyer is excused from paying as long as their personal dissatisfaction is honest and in good faith.
- **Objective Standard for Commercial/Utility Conditions:** Express satisfaction conditions for commercial building, plumbing, or mechanical repairs are evaluated under an objective reasonable-person standard; personal taste does not excuse payment if the work is commercially acceptable.
- **Prevention Doctrine Excuses Conditions:** A party cannot claim an express condition failed if they acted in bad faith to prevent or hinder the condition from occurring (such as refusing to deliver clear title or bribing an architect to withhold an approval certificate).
- **Death Excuses Personal Approval Conditions:** If an express condition requires approval from a specific named architect or expert who dies before inspecting, the condition is excused by objective impossibility to prevent a forfeiture.
- **Retraction of a Condition Waiver:** A party who waives a condition before it is due may retract that waiver and reinstate the condition upon reasonable notice, provided the other party has not materially changed their position in detrimental reliance.
- **Constructive Conditions of Exchange (Work Precedes Cash):** When a contract is silent on the timing of performance, the party whose performance takes time (like building a garage or painting a house) must complete the work before the party who merely pays cash is legally required to pay.
- **Simultaneous Performances (Concurrent Conditions):** When performances can occur simultaneously (such as exchanging a deed for cash), the duties are constructive concurrent conditions; neither party is in breach until the other party tenders performance.
- **Substantial Performance in Construction:** Under Common Law, if a contractor's breach is minor and unintentional (such as installing an identical brand of pipe), the contractor has substantially performed and is entitled to the full contract price minus any diminution in value caused by the defect.
- **Willful Breaches Defeat Substantial Performance:** The doctrine of substantial performance protects only innocent deviations; a builder who willfully and maliciously departs from contract specifications commits a material breach and cannot recover on the contract.
- **Divisible Contracts (Apportioned Units):** If a contract apportions agreed payments to distinct units of completed work (e.g., 5 sheds at \$10,000 each), a contractor who completes 3 sheds and abandons the rest can recover the contract price for the completed units, minus any damages caused by the breach.

- **UCC Perfect Tender Rule for Single Shipments:** In a single-delivery sale of goods, if the goods or tender fail in any respect to conform to the contract (including minor quantity or color variations), the buyer may reject the entire shipment, accept the entire shipment, or accept conforming units and reject the rest.
- **Seller's Right to Cure Before the Expiration Date:** If a buyer rejects nonconforming goods before the contract delivery deadline has passed, the seller has an absolute right to seasonably notify the buyer and deliver conforming goods on or before the deadline.
- **Seller's Right to Cure After the Delivery Date:** If the delivery deadline has passed, the seller is granted a further reasonable time to substitute conforming goods only if the seller had reasonable grounds to believe the nonconforming tender would be acceptable based on prior course of dealing.
- **Substantial Impairment in UCC Installment Contracts:** The perfect tender rule does not apply to installment contracts; a buyer can reject a nonconforming installment only if the defect substantially impairs the value of that specific delivery and cannot be cured, and can cancel the entire contract only if the defect substantially impairs the value of the whole contract.
- **Revoking Acceptance for Latent Defects:** A buyer who accepts goods may later revoke that acceptance if the nonconformity substantially impairs the value of the goods and the defect was difficult to discover during initial inspection.
- **Failure to Timely Reject Constitutes Acceptance:** A buyer impliedly accepts nonconforming goods if they fail to inspect and notify the seller of their rejection within a reasonable time after delivery, which bars them from claiming remedies.
- **Payment Before Inspection Does Not Waive Inspection:** Paying for goods prior to inspection (as required by contract or COD terms) does not constitute acceptance and does not impair the buyer's right to inspect and reject nonconforming goods.
- **Cash Demand Entitles Buyer to Reasonable Time:** If a contract is silent on payment, tendering a check is valid; if the seller demands cash, the buyer must be given a commercially reasonable time to procure the cash.
- **Elements of Anticipatory Repudiation:** Anticipatory repudiation requires a clear, positive, and unequivocal statement or voluntary act communicating that a party will not or cannot perform; ambiguous statements ("I might be late") are not repudiations.
- **Right to Demand Written Assurances:** When a party receives ambiguous statements or learns of credible financial distress that gives reasonable grounds for insecurity, they may demand adequate assurances in writing and suspend performance; failing to provide assurances within a reasonable time (not exceeding 30 days) constitutes an anticipatory repudiation.
- **Retraction of Anticipatory Repudiation:** A repudiating party can retract their repudiation before performance is due, unless the aggrieved party has canceled the contract, materially changed their position in reliance (such as by covering), or indicated that they consider the repudiation final.
- **Buyer Insolvency Remedies:** A buyer's technical insolvency is not an automatic repudiation, but it allows the seller to demand cash, withhold shipment, or stop goods in transit under the UCC.

Excuses, Discharge & Impossibility

- **Destruction of Subject Matter (Objective Impossibility):** Performance is excused by objective impossibility if the specific physical property, building, or venue essential to the contract is accidentally destroyed through no fault of either party.
- **Specified vs. Generic Goods Destruction:** If a contract specifies that agricultural crops must come exclusively from a designated piece of land, destruction of that land excuses performance; however, if the contract was for generic goods, the seller must cover by buying replacement goods on the open market.
- **Death in Personal Service Contracts:** Contracts requiring the unique personal skills, artistry, or reputation of a specific individual are discharged by impossibility upon that person's death or severe incapacitating illness.
- **Supervening Illegality Excuses Performance:** A party's performance duty is discharged under commercial impracticability if a new government statute, court order, or trade embargo makes performing the contract illegal.
- **Temporary Impracticability Suspends Performance:** A temporary interruption (such as a temporary labor strike or weather freeze) merely suspends the duty to perform while the obstacle exists; it does not discharge the contract unless the delay makes performance materially more burdensome.
- **Frustration of Purpose Standard:** Performance is excused under frustration of purpose if an unforeseen event fundamentally destroys the core, mutually understood reason for entering the contract (like a noise ordinance destroying the purpose of renting an outdoor music venue).
- **Mutual Rescission Requires Both Sides to Be Executory:** Parties can mutually cancel a contract without new consideration only if duties remain unperformed on both sides; once one party has fully performed, mutual rescission is ineffective without independent consideration (like an accord).
- **Mutual Rescission Wipes Out Restitution Claims:** If parties mutually agree to cancel a contract before either has fully performed, neither party can subsequently sue for the reasonable value of partial work already rendered.
- **Accord and Satisfaction:** An accord is an agreement to accept an alternate performance to satisfy an existing debt; it suspends the original obligation, but only actual performance of the accord (satisfaction) discharges the original debt.
- **Novation Releases the Original Obligor:** A novation requires the mutual agreement of all parties to substitute a new obligor for an original contracting party, completely releasing the original obligor from all future liability.
- **Destruction of New Construction Does Not Excuse Performance:** Accidental destruction of a brand-new building under construction does not excuse the builder under impossibility, and a contractor who walks away recovers nothing because the owner received no benefit.
- **Destruction of Existing Building Allows Restitution:** If an existing structure is accidentally destroyed while being repaired, the contractor's duty is discharged, and they are entitled to recover in restitution for the reasonable value of the work completed before the fire.

- **UCC Risk of Loss in FOB Shipment Contracts:** In a shipment contract ("FOB Seller's City/Plant"), the risk of loss passes to the buyer the moment the goods are safely loaded into the custody of the common carrier.
- **UCC Risk of Loss in FOB Destination Contracts:** In a destination contract ("FOB Buyer's Warehouse"), the risk of loss remains on the seller throughout transit and passes to the buyer only when the goods are tendered at the designated destination.
- **Breach Keeps Risk of Loss on the Seller:** If a seller ships nonconforming goods, the risk of loss remains on the seller even in an FOB shipment contract, regardless of whether the loss was caused by an unrelated act of God.

Third-Party Beneficiaries, Assignments & Delegations

- **Intended Creditor vs. Donee Beneficiaries:** A third party is an intended creditor beneficiary if the promisee's purpose was to discharge an existing debt owed to them, and an intended donee beneficiary if the promisee intended to confer a gratuitous gift.
- **Incidental Beneficiaries Have No Standing:** Third parties who merely receive an indirect economic benefit from a contract (such as nearby landowners whose property values rise from a municipal paving job) are incidental beneficiaries and have no right to sue.
- **Vesting of Third-Party Beneficiary Rights:** The original parties retain the power to modify or cancel a contract without the third party's consent until the beneficiary's rights vest by learning of and assenting to the deal, relying on it to their detriment, or filing suit.
- **Promisor Defenses Against Beneficiaries:** A promisor can assert any contract defense against an intended third-party beneficiary (such as the promisee's material breach, fraud, or failure of consideration) that they could have asserted against the original promisee.
- **Donee Beneficiary Cannot Sue Promisor:** An intended donee beneficiary can sue the promisor who promised to perform, but cannot sue the promisee who bought the gift because there is no underlying debt or consideration between them.
- **Creditor Beneficiary Can Sue Both Parties:** An intended creditor beneficiary can sue both the promisor on the third-party contract and the promisee on the original underlying debt until the obligation is satisfied.
- **Prohibiting vs. Voiding Assignments:** An anti-assignment clause stating assignments are "prohibited" or "not permitted" destroys only the *right* to assign (leaving the assignment valid while making the assignor liable for breach); only explicit language declaring assignments "VOID" destroys the *power* to assign and invalidates the transfer.
- **The Right to Payment Is Always Assignable:** A contract clause prohibiting assignment does not prevent assigning the right to receive payment for goods or services already delivered, as commercial law favors the free assignability of money.
- **Gratuitous Assignments Become Irrevocable Upon Performance or Reliance:** A gift assignment without consideration is revocable, but becomes completely irrevocable once the obligor actually pays the assignee or if the assignee foreseeably and detrimentally relies on the assignment.

- **Death Revokes Gratuitous Assignments:** A revocable gift assignment automatically terminates by operation of law upon the death of the assignor if payment has not yet been made and no detrimental reliance has occurred.
- **Obligor Discharged by Payment Without Notice:** An obligor who pays or settles with the original assignor in good faith without notice of an assignment is completely discharged of their obligation.
- **Non-Delegable Personal Service Duties:** Contract duties requiring specialized personal skill, artistic judgment, or unique professional trust (such as custom blueprints, specialized surgery, or painting a portrait) cannot be delegated without consent.
- **Delegation of Routine Commercial Duties:** Routine, mechanical tasks (such as paving asphalt, mowing grass, or repairing a standard roof) are freely delegable without the obligee's consent unless the contract contains an express anti-delegation clause.
- **Delegating Leaves the Delegator Secondarily Liable:** A valid delegation of duties does not relieve the original obligor of contractual liability; the delegator remains secondarily liable as a surety unless all parties execute a formal novation.
- **Assignments Cannot Materially Increase Obligor Burdens:** Requirements and output contracts cannot be assigned or delegated if transferring the contract to a party with vastly different requirements materially alters the duty or burden on the obligor.

Remedies, Calculations & Math Rules

- **General Expectation Damages Formula:** Expectation damages put the non-breaching party where they expected to be had the contract been performed:

$$\text{Damages} = \text{Lost Net Profit} + \text{Reliance Costs Incurred} - \text{Salvage/Mitigation}$$

(Math step: Take total contract price, subtract what it would have cost to build to find expected profit, add expenses already spent, and subtract any cash recovered by selling scrap metal.)

- **Cost to Complete for Construction Abandonment:** When a contractor abandons a construction project halfway through:

Owner's Damages

$$= (\text{Amount Paid to Breaching Contractor} + \text{Cost of Replacement Contractor}) - \text{Original Contract Price}$$

(Math step: Add what the owner already paid to what they had to pay the new contractor to finish the job, and subtract the original contract price to calculate the excess out-of-pocket loss.)

- **Construction Defect (Cost of Repair vs. Diminution in Value):** When a contractor finishes a building with defects, the standard measure of damages is the cost to complete or repair the building to meet the specifications, unless the cost of repair is grossly disproportionate to the difference in value and would cause economic waste.
- **Consequential Damages Foreseeability (*Hadley v. Baxendale*):** Consequential damages (such as lost profits resulting from a factory or mill shutdown) are recoverable only if the breaching party had reason to foresee them from communicated facts at the time the contract was made.

- **Incidental Damages (Handling Costs):** Aggrieved buyers and sellers are entitled to recover all commercially reasonable expenses incurred in caring for, storing, transporting, returning, or inspecting goods following a breach.
- **UCC Buyer Cover Damages Formula:** When a seller breaches, an aggrieved buyer who purchases substitute goods in good faith calculates damages as:

$$\text{Damages} = (\text{Cover Price} - \text{Contract Price}) + \text{Incidental/Consequential Damages} - \text{Expenses Saved}$$

(Math step: Subtract the original contract price from the cost of the replacement goods, add incidental shipping/travel fees, and subtract any money saved.)

- **UCC Buyer Market Damages Formula:** If an aggrieved buyer does not cover, damages equal the difference between the market price at the time the buyer learned of the breach and the contract price, plus incidental/consequential damages.
- **UCC Seller Resale Damages Formula:** When a buyer breaches, a seller who resells the goods in a commercially reasonable manner calculates damages as:

$$\text{Damages} = (\text{Contract Price} - \text{Resale Price}) + \text{Incidental Damages} - \text{Expenses Saved}$$

(Math step: Subtract the resale price from the contract price and add reasonable incidental storage fees.)

- **UCC Warranty Damages Formula:** For breach of warranty regarding accepted goods:

$$\text{Warranty Damages} = \text{Value of Goods as Warranted} - \text{Value of Goods as Delivered}$$

(Math step: Subtract the actual fair market value of the defective goods from the fair market value the goods would have had if they conformed to the warranty.)

- **Lost Volume Seller Doctrine (Math Rule):** A merchant with an unlimited inventory of standard goods who can obtain as many units as they can sell recovers their lost profit from a breaching buyer:

$$\text{Damages} = \text{Retail Contract Price} - \text{Wholesale Cost}$$

(Math step: Even if the merchant resells the exact same item to another customer for full price, the seller recovers the full profit margin lost on the breached sale because they would have made two sales instead of one.)

- **Private Resellers Are Not Lost Volume Sellers:** A private individual selling their own personal, single asset recovers nothing in compensatory damages if they resell the item for the original contract price, because the resale fully mitigates their loss:

$$\text{Damages} = \text{Contract Price} - \text{Resale Price} = \$0$$

- **Duty to Mitigate Wrongful Employee Discharges:** An employee wrongfully fired before their contract ends calculates damages as:

$$\text{Damages} = \text{Unpaid Balance of Salary} - \text{Amount Actually Earned/Could Have Earned in Comparable Job} + \text{Job Search Expenses}$$

(Math step: Take remaining salary owed, subtract replacement earnings from a comparable job, and add reasonable advertising or job-search costs.)

- **Duty to Mitigate Commercial Leases:** A landlord whose tenant abandons a commercial lease has a duty to make reasonable efforts to find a replacement tenant; damages are reduced by the amount of rent the landlord could have collected through reasonable mitigation.
- **Enforceability of Liquidated Damages:** A liquidated damages clause is enforceable only if actual damages were difficult to estimate at formation and the agreed sum was a reasonable forecast of anticipated or actual harm; if the clause is struck down as a penalty, the plaintiff recovers only proven actual expectation damages.
- **Specific Performance Alongside Liquidated Damages:** Having a valid liquidated damages clause limits the recovery of monetary damages, but does not bar an aggrieved party from seeking equitable specific performance for unique property.
- **Restitution for Breaching Parties (Deposit Refunds):** A party who willfully breaches a contract can recover their down payment or deposit in restitution minus the actual damages caused by the breach:

$$\text{Refund} = \text{Deposit Paid} - \text{Actual Damages Caused by Breach}$$

(Math step: Subtract the non-breaching party's proven damages from the buyer's cash deposit to prevent unjust enrichment.)

- **Specific Performance for Real Estate:** Specific performance is granted when monetary damages are inadequate; because all land is legally unique, buyers of real property are entitled to specific performance upon a seller's breach.
- **Specific Performance for Unique Goods:** Under the UCC, specific performance is unavailable to force a buyer to pay money, but is available to a buyer when the goods are custom-made, patented, or unique such that replacement goods cannot be purchased on the open market.
- **Buyer's Right of Replevin for Pre-Paid Goods:** A buyer who pre-pays for identified goods can replevy (seize) the items from an insolvent seller if the seller becomes insolvent within 10 days of receiving the first payment installment.
- **Adequacy of Consideration for Specific Performance:** Courts evaluate the fairness and adequacy of consideration as of the time the contract was made, not as of the time of breach; a promise to convey real estate in exchange for lifetime caretaking is specifically enforceable even if the promisor dies shortly after contracting.